



Market Debunk

#MARKETDEBUNK

The Brutal

Risk – Reward Math



The Optical *Illusion Of* Cheap Shares

Retail investors routinely confuse share price with company valuation. Buying a stock under ₹200 like Castrol or NHPC feels accessible, but nominal price reveals nothing about valuation. Market cap and P/E ratio determine real equity value, not arbitrary unit pricing.



How Nominal *Price Anchors* Retail

Analysts promote sub-₹200 targets because psychological price anchoring drives high retail volume. Small-lot buyers rush in thinking a ₹150 share is cheap, ignoring that bloated debt and stagnant earnings make it far more expensive than a ₹3,000 compounder.



Creating Necessary *Exit Liquidity*

Institutional desks require immense volume to offload large positions without crashing bid prices. Promoting low-priced stock calls generates retail order flow, effectively using uninformed capital as **exit liquidity** while institutions hedge downside risk around key levels like **55,500**.



The Real **Cost Of** Bad Asymmetry

Tight stop-losses on speculative sub-₹200 calls frequently trigger during noise, compounding transaction friction. A portfolio hit with sequential **5% stop-outs** requires an exponential **11.1% gain** just to recover capital, permanently destroying long-term compounding velocity.



The Valuation *Over Price* Rule

Never evaluate equity based on unit share cost. Before taking any technical trade, calculate total **Market Cap, P/E ratio** relative to sector peers, and institutional ownership trends. Price is merely what you pay; fundamental value is what you actually acquire.



The 3-Point *Trade Verification* Audit

Before entering low-nominal trades: First, check if **Market Cap** matches earnings growth. Second, verify if institutional holdings are increasing or dumping. Third, ensure risk-reward asymmetry exceeds **1:3** beyond structural market noise and volatility triggers.



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